



ANGEL CITY CAPITAL MANAGEMENT

Asset Management Project — Portfolio Proposal & Report

A \$1,000,000 Multi-Asset Portfolio for a Higher-for-Longer Economy

FRL 6950 | Summer 2026

Andrew Solano Pasten

Portfolio inception: June 1, 2026

Report date: July 2026

Contents

Executive Summary	3
Investment Philosophy and Client Profile.....	4
Economic Outlook and Market Overview.....	6
Capital Markets Outlook: Expected Returns.....	9
Asset Allocation	10
Portfolio Construction and Risk Management	12
Equity Valuation and Selection	13
Mutual Fund and ETF Selection	19
Portfolio Monitoring, Rebalancing, and Client Reporting.....	21
Individual Security Analyst Report — JPMorgan Chase & Co. (NYSE: JPM)	23
Model Limitations and Data Vintage	
Conclusion	28
Appendix: Supporting Exhibits	29

Executive Summary

This report presents the construction, rationale, and first month of live performance of a \$1,000,000 multi-asset portfolio managed under the Angel City Capital Management (ACCM) investment policy. Every decision in the portfolio traces to a single, explicit macroeconomic view: the United States remains in a higher-for-longer regime, in which nominal growth holds up, inflation remains sticky near 3.4%, the Federal Reserve holds policy rates at 3.50 - 3.75% with risks tilted toward a renewed rate hike rather than near-term easing, and the 10-year Treasury to drift toward 4.9%, which is above the Bloomberg economist consensus of roughly 4.3 - 4.4%. In this macro-environment, nominal GDP grows near 5.2%, consumers keep spending, the AI and data-center capital-expenditure cycle keeps demanding financing, and the assets best positioned to outperform are those levered to nominal growth rather than to falling rates.

The portfolio expresses that view at three layers. At the asset-allocation layer, we hold 75% equities, 21% fixed income, and 4% cash - an aggressive posture within the policy ranges, corroborated by a mean-variance optimization run on our own expected returns. At the implementation layer, U.S. equity exposure is spread across all eleven GICS sectors with deliberate overweight's to Financials, Industrials, Energy, and Technology funded by underweights to rate-sensitive defensives; the fixed-income sleeve is built to earn a yield premium over its benchmark with less interest-rate risk (5.0% yield at 5.1 years duration, versus 4.8% at 5.8 years for the Bloomberg Aggregate; AGG ETF data, 7/1/26), using active managers where credit selection earns its fee and passive vehicles where it does not. At the security selection layer, our researched conviction position is JPMorgan Chase (5% of the portfolio, the policy maximum), selected through a documented screening process and valued with a dividend growth model at a \$342 twelve-month target.

We expect the portfolio to return approximately 6.3% over the coming year versus 5.2% for the blended benchmark (50% Russell 3000 / 20% MSCI ACWI ex-US / 30% Bloomberg U.S. Aggregate), roughly 44 basis points from asset allocation, 15 from fixed-income implementation, and 49 from security selection at an expected volatility near 11.7% and an expected Sharpe ratio of 0.16 versus 0.13 for the benchmark. The first live month supports the design: in June 2026 the portfolio returned +0.40% against -0.13% for the benchmark, an active return of +53 basis points earned in a down month, with JPMorgan (+10.4%) and the Industrials overweight the largest contributors. While one month proves nothing on its own, we report it, attribute it, and note that the same concentrated convictions that helped in June are the portfolio's principal risks. The remainder of this report documents each layer of the process, philosophy, outlook, allocation, selection, and monitoring, in the order decisions were made.

Investment Philosophy and Client Profile

Investment Philosophy

ACCM's philosophy is macro-driven and top-down. We believe that over a one-year horizon, the dominant driver of portfolio outcomes is not which stocks we pick but which economic environment we are in. Therefore, the most valuable analytical work is building an explicit, quantified view of growth, inflation, and interest rates, and letting that view cascade down through asset allocation, sector weights, and finally security selection. This report is organized in exactly that cascade. We hold four working beliefs. First, markets are broadly efficient at pricing individual securities but persistently slow at repricing macroeconomic environments. The consensus spent 2024 and 2025 forecasting rate cuts that did not come, and positioning for that error is a repeatable source of active return. Second, active risk should be taken deliberately and in proportion to conviction: our bets are sized appropriately (a +4.2-point sector overweight, a 2.4x emerging-markets position, one 5% single stock), not over extended. Third, implementation costs compound: we express views through the cheapest, most liquid vehicle that captures the view, reserving higher-fee active funds for areas of fixed income where benchmark construction can create meaningful inefficiencies. Fourth, process is more reliable than prediction: every position is backed by a documented rationale, clear monitoring triggers, and a defined sell discipline, because long-term portfolio success depends on discipline rather than perfect foresight.

The Market Inefficiency We Target

Our strategy is designed to capture the gap between market-implied expectations and our modeled outlook in two places: the rate curve (markets price a stable-to-easing Fed; our model says hold-or-hike, which favors short duration, credit carry, and bank profitability) and the AI capital-expenditure cycle (equity markets price the direct beneficiaries richly, but the financing, power, and industrial infrastructure that the buildout requires remains more reasonably valued — we own it through Financials, Industrials, and Energy rather than paying peak multiples for the obvious names).

Client Risk Profile

The portfolio is managed for an endowment-style institutional client, a university affiliated type fund with a perpetual investment horizon, annual distributions of less than 5% of assets, and no tax liability on investment income. Time horizon: effectively unlimited, though this proposal is evaluated on a one-year cycle; the client can tolerate interim drawdowns without forced selling. Liquidity requirements are low, distributions are predictable and small relative to assets, and the 4% cash sleeve plus a fixed-income book of daily-liquidity ETFs covers more than a year of distributions without touching equities. Risk tolerance: moderate-to-high; the investment committee accepts equity-market volatility (roughly 12% annualized for this portfolio) in exchange for long-run growth, but requires disciplined diversification, hence the policy constraints of 60–80% equities, 20–40% fixed income, a 5% single-security cap, and a 50% ceiling on foreign equity within the equity sleeve. Tax considerations: as a tax-exempt institution, the client is indifferent between income and capital gains, which frees the fixed-income sleeve to hold

higher-yielding taxable credit and lets us rebalance without tax friction. This outlook supports a moderately aggressive portfolio, with equities near the policy maximum and fixed income near the policy minimum.

Economic Outlook and Market Overview

U.S. Economy: A Top-Down Forecast Built from Core Drivers

Rather than adopt a consensus forecast, we built one. Our economic model constructs nominal GDP from its components. Consumer spending, 68% of GDP is modeled from the labor market: the working-age population and participation trends support roughly 620,000 jobs added over the coming year, wage growth tracks at 3.5% (the average of the Atlanta Fed Wage Tracker and BLS hourly earnings), and the household saving rate continues to drift lower, adding roughly a percentage point to spending growth. Together these imply consumer spending growth near 4.9%. Business investment contributes 4.4% growth, led by the AI and data-center capital-expenditure cycle, government spending grows 4.5%, and a narrowing trade deficit adds a further 0.35 points. Aggregated, the model produces nominal GDP growth of approximately 5.2%.

Inflation is modeled the same way built, not assumed. We weight labor costs at 68% of the input structure and materials at 32%. Labor contributes 3.5% (wage growth), the materials basket constructed from spot versus one year futures spreads across WTI crude, copper, gold, agricultural commodities, and others contributes 3.3%. The blended forecast is 3.4% inflation: not a reacceleration, but distinctly above the Federal Reserve's 2% target, and sticky. Deflating nominal growth by this inflation build implies real growth of roughly 1.8 to 2.2%, with unemployment contained around 4.4%. That range is deliberately wide. Our build is constructed on a CPI basis while official real GDP uses the GDP deflator, which excludes imports and weights components differently, so the two are not interchangeable. The portfolio rests on nominal growth, inflation and interest rates, each of which this model forecasts directly.

The policy implication is the heart of our outlook. With growth above trend and inflation above target, the Federal Reserve has no case for cutting. We expect the funds rate held at 3.50–3.75% through the forecast window, and we assign meaningful probability to a hike. The divergence between economists and markets here is instructive: the Bloomberg consensus of economists (ECFC, July 2026) projects the funds rate easing toward roughly 3.5% through 2027, while interest-rate markets price a path drifting toward 4.0% (WIRP, 7/6/26), the market itself has abandoned the cutting cycle the economists still forecast. Our model sides with the market. For the 10-year Treasury, our model uses the standard decomposition of a Treasury yield into an expected policy path and a term premium, anchored to the Adrian-Crump-Moench estimates published by the Federal Reserve Bank of New York. As at July 23, 2026 the market prices a fitted 10-year of 4.78%, an average policy rate of 4.06% over ten years, and a term premium of 0.72%. We forecast 4.05% plus 0.85% — market pricing plus modest further term premium normalization — for a 4.9% forecast, above the prevailing market yield (approximately 4.5% at portfolio inception), above the Bloomberg economist consensus of 4.4% for 2026 (ECFC), and further above the spring survey medians near 4.0–4.25%. Where we differ from consensus is narrow and deliberate. Our wage (3.5%) and payroll (~1.0M) inputs match consensus almost exactly, and we make no real growth call, because our real figure is an approximation rather than a forecast. The

disagreement is persistence. Consensus expects inflation to fade to 2.5% by 2027 while our build keeps it near 3.4%. Over our twelve-month forecast window that is a 40 basis point gap, because consensus has only begun to fade within it. By 2027 the divergence approaches a full point. The same view drives the rate forecast. Our 4.9% ten-year sits roughly half a point above the economist consensus, and the sharpest expression of it is the gap between market pricing and the Federal Reserve itself. The market implies an average overnight rate of 4.06% over ten years against the 3.25% implied by the Committee's own June projections. We side with the market. Events since inception have moved our way: the 10-year touched 4.67% in mid-May, and the 30-year crossed 5.19%, its highest level since before the financial crisis.

Global Economies

Europe. The euro area remains the developed world's growth idler: energy costs structurally above pre-2022 levels, an aging workforce, and industrial competition from both American technology and Chinese manufacturing compress the corridor of likely outcomes to roughly 1% real growth. The ECB has more room to ease than the Fed precisely because its economy is weaker, a currency headwind for unhedged dollar investors. European equities offer dividend yield and valuation, not growth; we hold them only within a diversified developed markets position.

Japan. Japan is mid-way through the most delicate monetary normalization in modern history, exiting decades of yield-curve control with a debt stock exceeding 200% of GDP. Wage growth and corporate-governance reform are real positives, and the equity market has responded, but demographics cap trend growth near 1% and the yen introduces volatility we are not paid to hold at scale. Exposure is retained within the developed-markets ETF, not amplified.

China. Our view is deliberately two-track. The macro economy still fights a property deleveraging, weak household confidence, and demographic contraction, we would not own a broad China consumption story. Though China's technology sector has re-emerged as a credible global AI competitor at valuations several multiples below U.S. equivalents, and policy has pivoted from restraining platform companies to championing them. Within an emerging-markets index weight, China technology is exposure we are content to hold at roughly a quarter of the EM sleeve.

India. India is the strongest structural growth story in the investable universe: real growth in the 6–7% range, a demographic profile that is the mirror image of East Asia's, domestic consumption resilient enough that American trade policy barely registers (exports to the U.S. are roughly 2% of GDP), and an equity market that has compounded double digits for a decade. India's valuations remain elevated, so we maintain exposure through its roughly 20% weight in the EM index rather than paying higher fees to further concentrate the position.

South Korea and Taiwan. These two markets are the AI buildout's supply chain: memory, logic foundry, and advanced packaging. Korea additionally trades at a persistent governance discount that reform programs are slowly closing. Taiwan and Korea are both meaningful weights in the MSCI Emerging Markets Index, at roughly 20% and 10%, respectively. As a result, our EM allocation already provides

substantial exposure to the semiconductor complex. For that reason, the EM overweight is an extension of our AI thesis, not a diversification away from it.

Latin America. Brazil and Mexico round out the major-economy map: both offer high nominal yields and commodity leverage, but Brazil's fiscal trajectory and Mexico's sensitivity to U.S. trade policy put both on the wrong side of our policy-risk screen, and neither carries the technology exposure that anchors our emerging-markets case; they remain small index weights within IEMG rather than convictions. Finally, the dollar: higher-for-longer U.S. rates against an easing ECB argue for a firm dollar over the coming year a headwind for unhedged international returns, and one more quiet reason our foreign allocation tilts toward high growth markets that can out earn a currency drag rather than low growth ones that cannot.

The sum: our international conviction is emerging Asia; our developed-markets holding is diversification honestly labeled. That asymmetry is expressed in the weights — emerging markets at roughly 2.4 times the benchmark's implied allocation, developed markets below half of it.

What This Environment Rewards

A higher-for-longer regime sorts assets cleanly. It rewards: banks and financials, whose net interest income reprices upward and whose deposit franchises grow more valuable; industrial and energy infrastructure, which the AI buildout must purchase regardless of which platform wins; credit carry, because strong nominal growth suppresses defaults; and short-to-intermediate duration, which collects today's elevated yields without betting on a rally. It punishes: long duration (a 4.9% 10-year inflicts roughly a 6% price loss on a 14-year-duration Treasury portfolio); rate-sensitive defensive equities, utilities, real estate, and staples whose bond proxy valuations compress and any asset priced for the rate cuts that our model says are not coming. The following portfolio translates this macro outlook into position-level decisions, with each allocation reflecting the views outlined above.

Capital Markets Outlook: Expected Returns

We translate the economic outlook into twelve-month expected returns for the five major asset classes using a building-block method: for equities, income plus earnings growth plus valuation change; for fixed income, starting yield minus duration times the expected rate move. The blocks are deliberately conservative, each embeds the costs of our own view as well as its benefits.

Asset Class	Income	Growth	Valuation / Rates	Expected Return
U.S. Equities (Russell 3000)	1.1%	+7.7%	−2.5%	6.3%
International Developed (EAFE)	3.0%	+4.0%	−2.0%	5.0%
Emerging Markets (MSCI EM)	2.5%	+8.0%	−2.0%	8.5%
U.S. Aggregate Bonds	4.6%	—	−1.8%	2.8%
ACCM Fixed-Income Sleeve	5.0%	—	−1.5%	3.5%
Cash (1–3 Month T-Bills)	3.7%	—	—	3.7%

Sources: dividend yield and index P/E from FTSE Russell factsheet (5/31/2026); growth from the ACCM economic model.

Three of these numbers deserve explanation. U.S. equities earn 6.3%, not more: 7.7% earnings growth (5.2% nominal GDP plus an AI-driven margin contribution) and a 1.1% dividend yield are partly offset by 2.5 points of expected multiple compression, because a market trading at 27 times earnings does not hold its multiple while the 10-year rises toward 4.9%. Transparency about our own rate view requires that deduction. The Aggregate bond index earns only 2.8% — its 4.6% yield to worst less roughly six years of duration against a 30-basis-point rate drift, while our own fixed income sleeve earns 3.5% on the identical math, because it was constructed to carry more yield with a year less duration. That 0.7-point gap is the fixed-income section's entire thesis, stated in expectation before it is demonstrated in history. Cash at 3.7% is the quiet argument of the whole outlook: when the riskless rate exceeds the expected return of the Aggregate, conventional 60/40 construction needs rethinking, and every allocation below either clears the cash hurdle or exists for diversification stated as such.

Aggregating with our portfolio weights produces an expected portfolio return of approximately 5.6% at the asset-class level, rising to roughly 6.3% after fixed-income implementation and security selection, versus 5.2% for the blended benchmark, an expected active return of roughly 108 basis points, sourced and sized in the sections that follow. Against the portfolio's expected volatility of 11.7%, the expected Sharpe ratio is 0.16, versus 0.13 for the benchmark. These are planning figures, not promises: their purpose is to prove the portfolio was built for a stated world, and to define the world in which it would underperform.

Asset Allocation

Methodology: Optimize, Then Overrule with Reasons

Our allocation process ran in three steps. First, we assembled ten years of monthly total-return data (June 2016 – May 2026) for the five benchmark asset classes, Russell 3000, MSCI Developed ex-US, MSCI Emerging Markets, the Bloomberg U.S. Aggregate, and 1–3 month Treasury bills, and estimated the full variance-covariance matrix. Second, following the investment methodology, we re-ran a mean-variance optimizer replacing historical average returns with our own forward-looking expected returns from the Capital Markets Outlook, keeping the historical covariance matrix, and solving under the investment-policy constraints (equities 60–80%, fixed income 20–40%, cash 0–20%, foreign equity at most half the equity sleeve). Third, and most importantly, we used the optimizer to inform the allocation, while retaining final judgment over any position that required a qualitative adjustment.

Scenario	US Eq	Intl Dev	EM	Bonds	Cash	E(Ret)	Std Dev	Sharpe
Max Return	40.0%	0.0%	40.0%	20.0%	0.0%	6.5%	12.6%	0.220
Min Std Dev	30.1%	20.6%	9.3%	20.0%	20.0%	5.0%	9.3%	0.141
Max Sharpe	40.0%	0.0%	40.0%	20.0%	0.0%	6.5%	12.6%	0.220
ACCM Portfolio (chosen)	54.0%	9.0%	12.0%	21.0%	4.0%	5.6%	11.7%	0.163
Benchmark (50/20/30)	50.0%	15.0%	5.0%	30.0%	0.0%	5.2%	11.2%	0.131

Optimizer: ACCM expected returns, 10-year historical covariance, policy constraints. Sharpe measured over cash (3.7%).

The optimizer's result is instructive because we chose not to adopt it mechanically. Given our expected return assumptions, both the maximum return and maximum Sharpe solutions converge on the same allocation: 40% U.S. equities and 40% emerging markets, with the foreign equity constraint binding. This occurs because emerging markets have the highest expected return in our model, and the optimizer treats that input with full confidence. In practice, however, a 40% allocation to a single emerging markets region would introduce risks the model does not fully capture, including estimation error, political and currency concentration, and the 17.5% annualized volatility emerging markets exhibited over the historical sample. We therefore made a tactical adjustment that follows the optimizer's directional signal, but at a more prudent scale. Emerging markets represent 12% of the portfolio, still roughly 2.4 times the benchmark's implied weight, while U.S. equities remain the core allocation at 54% and developed international equities are held at 9% for defensible diversification.

The Chosen Allocation

Sleeve	Weight	Amount	Policy Range	Vehicles
Total Equities	75%	\$750,000	60–80%	
U.S. Equities	54%	\$540,000	—	11 GICS sector ETFs + JPM
Emerging Markets	12%	\$120,000	<50% of Eq.	IEMG (MSCI EM)
International Developed	9%	\$90,000	<50% of Eq.	IEFA (MSCI EAFE)
Fixed Income	21%	\$210,000	20–40%	SPTI, FBND, HYG, JMBS
Cash & Equivalents	4%	\$40,000	0–20%	BIL (1–3mo T-bills)
Gold	0%	—	0–5%	Considered and rejected
Total	100%	\$1,000,000		

Equities sit near the top of policy and fixed income a point above its floor because that is what the client profile and the outlook jointly imply: a perpetual-horizon, tax-exempt client paying for growth, and a regime in which nominal-growth assets are the ones being paid. Cash is small but deliberate, at 3.7% it is a productive reserve, funding distributions and rebalancing without forced sales. Gold is excluded intentionally, not overlooked. At record prices near \$4,100, gold offers no yield while Treasury bills pay approximately 3.7%, making its opportunity cost unusually high. In our strong nominal growth outlook, the need for a defensive hedge is also less compelling. For these reasons, the portfolio holds no gold. Foreign equities represent 28% of the equity sleeve, comfortably below the 50% policy limit, and no single security exceeds 5% of the total portfolio.

Return Goals vs. the Benchmark

Our return goal for the coming year is approximately 6.3%, against a benchmark expectation of 5.2%, an expected active return near 108 basis points, decomposed as roughly 44 from asset-allocation tilts (the equity overweight, the EM tilt, the short fixed-income posture), 15 from fixed-income implementation, and 49 from security selection in JPMorgan. We consider this ambitious but honest: it is built from priced instruments and a documented model rather than from optimism, and it comes with a stated cost, expected volatility about half a point above benchmark and an ex-ante tracking error of roughly 3.5%, both of which the client's profile can absorb.

Portfolio Construction and Risk Management

Universe. All holdings are U.S.-listed instruments per policy: equities from the NYSE, AMEX, and NASDAQ; international exposure through U.S.-listed ETFs; fixed income exclusively through funds. Every position has daily liquidity and a readily ascertainable market price.

Weighting process. Asset-class weights come from the optimization plus judgment process above. Within U.S. equities, sector weights start from the Russell 3000's GICS composition and deviate in proportion to the economic outlook, as detailed in the next section. Within fixed income, sub-asset weights are set by a ten-year risk/return analysis of each sub-class combined with current yields and durations. The portfolio was funded at \$1,000,000 on June 1, 2026 (entered in Bloomberg PRTU at actual closing prices; share rounding left initial principal at \$999,264, a seven-basis-point cash residual).

We manage risk using professional portfolio tools scaled to the mandate. Diversification is maintained through exposure to all eleven GICS sectors, a single-stock position capped at the policy maximum, and foreign equity exposure kept within policy limits. From a factor perspective, Bloomberg's multi-asset risk model estimates ex-ante tracking error at approximately 3.5% annualized, with roughly two-thirds coming from idiosyncratic risk and one-third from factor risk. The idiosyncratic component is driven primarily by the intentional JPM and sector positions, while factor risk is concentrated in U.S. market, semiconductor, and Korea exposures. This risk profile aligns with the portfolio's stated investment views.

Beta is evaluated from multiple perspectives. The equity sleeve has a weighted beta of 1.00 using Bloomberg adjusted betas as of 6/30/26, as cyclical overweights and defensive underweights largely offset each other. The total portfolio beta is 0.84 after accounting for bonds and cash. The risk model's ex-ante beta to the blended benchmark is 1.07, reflecting the portfolio's moderately aggressive posture relative to its benchmark. Duration is also aligned with the macro view, with the fixed-income sleeve at 5.1 years versus the benchmark's 6.0 years. Monitoring cadence, rebalancing bands, and position-level sell disciplines are detailed in the Monitoring and Client Reporting section.

Equity Valuation and Selection

Equity Strategy: Growth, at a Price, Expressed Through Sectors

Our equity strategy has three defining characteristics. First, it is growth oriented. Over the ten years ending May 2026, the S&P 500 Pure Growth Index compounded at 15.0% annually, compared with 11.0% for the S&P 500 Pure Value Index. Growth also delivered lower volatility, at 19.3% versus 20.7%, and a stronger Sharpe ratio, at 0.66 versus 0.42. In dollar terms, \$1 invested in growth became \$4.03, compared with \$2.83 in value.

The main exception was 2022, when rising rates caused growth to fall 27% while value was roughly flat. However, the 2026 evidence supports our one year outlook. Through May 2026, Pure Growth returned 29% compared with 10% for Pure Value, even in a higher rate environment. This suggests that the current growth cycle is being driven by earnings, especially AI related capital expenditure, rather than only by valuation expansion.

Second, the strategy is benchmark anchored. We deviate from the Russell 3000 sector weights deliberately and in measured size, so that performance differences can be tied to specific allocation decisions. Third, the strategy is implemented passively except where we have specific conviction. Eleven sector ETFs provide broad market exposure, while one researched individual stock carries the portfolio's idiosyncratic equity bet.

Strategic Choices Within Equities

Four structural decisions guide the equity allocation before specific weights are assigned. First, the strategy is top-down rather than bottom-up. As outlined in the philosophy section, the economic outlook determines the sector positioning, while individual stock analysis is reserved for the portfolio's single conviction equity position.

Second, the portfolio uses active allocation through passive vehicles. We keep implementation costs low by using ETFs, while taking active risk through sector weights where our macro process has a clear view. We do not attempt broad stock selection where we do not believe the process has a consistent edge.

Third, the portfolio favors large-cap exposure over small and mid-cap exposure. The Select Sector ETFs hold S&P 500 constituents, creating a deliberate quality tilt in a higher rate environment. This is consistent with our outlook because smaller companies are generally more exposed to floating-rate debt, refinancing risk, and tighter financial conditions. The trade-off is that the portfolio underweights the small-cap portion of the Russell 3000 benchmark.

Fourth, the portfolio follows a strategic buy-and-hold approach with an annual tactical review. June's volatility, when the portfolio declined roughly 3% intramonth but finished positive, reinforces why the strategy is not designed to trade short-term market swings.

Sector Allocation: The Outlook, in Weights

Sector weights begin from the benchmark's GICS composition (iShares Russell 3000 ETF) and tilt toward the higher-for-longer, AI-buildout thesis. The overweights are one macro view expressed three ways: Financials (+4.2 points) monetize elevated rates through net interest income and the capital markets recovery; Industrials (+2.1) build the data centers, power equipment, and reshored capacity the buildout requires; Energy (+2.1) feeds its power demand and hedges the inflation in our own forecast. Technology (+1.6) stays close to neutral by design: at more than a third of the index, technology is the market, and our AI conviction is better expressed where it is differentiated. The funding comes from the rate-sensitive defensives — Health Care (−3.9), Staples (−2.4), Utilities (−1.2), Real Estate (−1.3), as these sectors face the greatest valuation pressure from higher rates if the ten-year Treasury rises toward 4.9%. Still, all eleven sectors remain represented, with conviction expressed by relative weighting rather than exclusion.

Sector (ETF)	R3000 Wt	ACCM Wt	Active	Amount
Information Technology (XLK)	34.2%	36.0%	+1.8	\$194,400
Financials (XLF + JPM)	12.8%	17.0%	+4.2	\$91,800
Industrials (XLI)	10.4%	12.5%	+2.1	\$67,500
Health Care (XLV)	9.9%	6.0%	−3.9	\$32,400
Consumer Discretionary (XLY)	9.6%	9.5%	−0.1	\$51,300
Communication Services (XLC)	9.5%	9.0%	−0.5	\$48,600
Consumer Staples (XLP)	4.5%	2.0%	−2.5	\$10,800
Energy (XLE)	2.4%	4.5%	+2.1	\$24,300
Real Estate (XLRE)	2.3%	1.0%	−1.3	\$5,400
Materials (XLB)	2.2%	1.5%	−0.7	\$8,100
Utilities (XLU)	2.2%	1.0%	−1.2	\$5,400

Benchmark: iShares Russell 3000 ETF (IUV) GICS sector weights as of 7/2/2026, [ishares.com](https://www.ishares.com), normalized ex-cash. FTSE Russell publishes the index under ICB, which classifies interactive media within Technology; GICS weights are used for consistency with the sector ETFs implementing the sleeve.

Security Selection: The Screener

Individual stock selection runs in two documented stages. Stage one is a Bloomberg EQS screen that funnels the investable universe down to a working list: from roughly 1.65 million securities globally, to active U.S.-listed and U.S.-domiciled companies (15,663), to GICS Financials (1,044), to market capitalizations of at least \$20 billion (76), to positive year-over-year quarterly revenue growth (65), to a return on common equity above 10% (50 names). This first stage was intentionally broad. Its purpose was to identify growing, profitable, institutional scale financial companies, while leaving qualitative judgment for the second stage rather than embedding it entirely in the screening criteria.

The second stage applied our evaluation framework to the 50 screened companies. Because our Financials overweight is tied to rates, lending, and capital markets activity, we focused on balance sheet banks that can directly monetize that thesis. As a result, payment networks, insurance brokers, and

exchanges were set aside, even when their reported metrics appeared attractive. For example, Mastercard's 233% return on equity reflects buyback reduced book equity and is not directly comparable to bank profitability. The remaining banks were evaluated on return on equity relative to cost of equity, price to book valuation relative to that profitability spread, growth in total shareholder payout, and capital strength versus regulatory minimums. Valuation upside was then quantified through the dividend growth model presented in the analyst report.

Among the lending banks in the screen output, JPMorgan Chase stood out as the strongest overall candidate. It was the largest bank by market capitalization at approximately \$905 billion, exceeded in the broader Financials screen only by Berkshire Hathaway and the payment networks, none of which are lending banks. JPM also had the highest return on equity of any bank in the screen at 17.0%, compared with 14.8% for the next highest bank and 11.0% to 12.8% for the other money center banks. Its revenue growth of 6.9% was also within half a percentage point of the bank leader, Wells Fargo at 7.3%, despite JPM operating at more than three times Wells Fargo's scale.

No other bank combined JPM's scale, profitability, growth, capital strength, and modeled valuation upside. For those reasons, JPMorgan Chase was selected as the portfolio's single stock position. The screen output and peer comparison table are included in the analyst report.

The Conviction Position: JPMorgan Chase (5.0%)

JPM is the portfolio's single stock, held at the policy maximum of 5% and constituting roughly 55% of the Financials allocation, a deliberate concentration in the researched name, with XLF diversifying the remainder of the sector. The full analyst report (rating, dividend-growth-model valuation, risks, and sell discipline) appears as the final section of this document. JPM is the most diversified earnings engine in U.S. banking, positioned on the right side of every element of our outlook, net interest income in a higher-rate world, record capital-markets revenues in the AI financing cycle, and a fortress balance sheet confirmed by the June 2026 stress test, which it passed with a 14.3% Tier 1 ratio against an 11.5% requirement, immediately raising its dividend 10% and authorizing a \$50 billion buyback. Our dividend growth model values the shares at \$342 twelve months forward against a \$299.31 purchase price.

Diversification and Portfolio Beta

Diversification within equities operates at three levels: eleven sectors (all held), roughly 3,000 underlying U.S. securities through the sector ETFs plus 2,700 international securities through IEMG and IEFA, and a single-name limit that caps idiosyncratic exposure at 5%. The equity sleeve carries a dividend yield of approximately 1.5% and the total portfolio 2.2% (Bloomberg PORT, 7/2/26). The equity sleeve's weighted beta is 1.00 (market-value-weighted Bloomberg adjusted betas across all fourteen equity holdings, as of 6/30/26). The high beta technology core (XLK, 1.35) and cyclical overweights are almost exactly offset by low-beta defensive holdings and international funds, leaving market level systematic risk while the active risk budget is spent on sector and security selection rather than on a leveraged market bet. The risk model's ex-ante beta of the total portfolio to its blended benchmark is 1.07, which quantifies the aggressive allocation posture. Oversight, sale decisions, and reinvestment decisions are all

governed by the sell disciplines outlined in the Monitoring section. If a position reaches its price target, we re-underwrite the investment. If the original thesis is no longer valid, we exit the position. If a position declines 20% from cost without a clear fundamental explanation, it is subject to formal review.

Fixed-Income Valuation and Selection

Method: Ten Years of History, Priced Forward

The fixed-income sleeve was built from a two-part analysis. First, ten years of monthly total-return data (June 2016 – May 2026) for the full menu of fixed-income sub-classes, T-bills, long and intermediate Treasuries, investment grade credit, preferreds, high yield, agency MBS, and CMBS, established each sub-class's realized return, volatility, drawdown behavior, and correlation to equities. Second, current yields and durations from fund sponsors priced each sub-class forward under our rate view. Historical data established the risk characteristics of each sub-class, while current yields and durations determined the compensation available under our forward rate view.

Sub-class (ETF)	10-yr CAGR	10-yr Vol	2022 Shock	Yield (YTW)	Duration	Verdict
1–3mo T-Bills (BIL)	2.2%	0.6%	+1.4%	3.7%	0.1	Cash sleeve
Long Treasury (SPTL)	−0.9%	13.0%	−29.4%	5.0%	14.2	Excluded
Interm. Treasury (SPTI)	1.4%	4.4%	−10.6%	4.3%	4.9	Core, 35%
IG Corporate (LQD)	2.7%	8.3%	−17.9%	5.3%	8.0	Via active core-plus, 25%
Preferreds (PFF)	3.4%	10.1%	−18.2%	6.3%	n.a.	Excluded
High Yield (HYG)	5.0%	7.3%	−11.0%	6.9%	3.0	Satellite, 20%
Agency MBS (MBB)	1.4%	5.2%	−11.7%	4.9%	5.3	Via active MBS, 20%
CMBS	2.2%	4.4%	−11.2%	4.6%	n.a.	Excluded

History: Bloomberg data, monthly, 6/2016–5/2026. Yields/durations, June–July 2026. Sharpe vs. cash: high yield 0.39 (best of); long Treasuries negative.

The exclusions carry as much logic as the inclusions. Long Treasuries are the cleanest data-backed decision in the portfolio: a negative return over a full decade, the worst 2022 of any asset we examined, and 14 years of duration offered at 5.0%, precisely the risk our 4.9% ten-year forecast says is uncompensated. Preferreds yield favorably but correlate 0.73 with equities at a 0.45% fee: equity risk in bond clothing, and we already own equities. CMBS fails our fund-selection screens outright, a \$500 million fund with a 0.29% bid/ask spread, before any view on commercial real estate is required. High yield earns its place for the opposite reason: the best risk-adjusted return of the menu over the decade, offering 6.9% at only three years' duration, in an economy our model says will not produce a default cycle. Its 0.75 equity correlation is acknowledged: high yield is sized as a return-seeker, not ballast. The ballast is intermediate Treasuries and MBS, whose low equity correlations (0.16 and 0.34) diversify the book while today's yields finally pay for the privilege.

Active Where It Earns Its Fee

Implementation follows a clear principle: passive for Treasuries, where there is no credit analysis to pay for, and active for credit and mortgages, where benchmark construction has meaningful limitations. Bond indices tend to weight issuers by debt outstanding, while mortgage indices do not actively manage prepayment and extension risk. The sleeve therefore uses SPTI as the passive Treasury core, with a 0.03% expense ratio; FBND for investment-grade credit, an active core-plus fund with a 0.36% expense ratio and approximately \$27 billion in assets; and JMBS for mortgage exposure, an active strategy with a 0.21% expense ratio, approximately \$6.8 billion in assets, and a 6.2-year duration.

FBND was selected over PIMCO's BOND because it met three of our four fund criteria: larger assets, a 20 basis point cost advantage, and a comparable process. High yield remains passive through HYG as a documented exception. The preferred active alternative, BRHY, has only \$99 million in assets and a 2024 inception date, failing our AUM and track-record screens. This reflects discipline in implementation: active management is used only where it clears our own selection criteria. The ten-year analysis uses passive index proxies for asset class evidence, while the funds selected are implementation vehicles.

The Sleeve as Built

Weighted together, the fixed-income sleeve offers an approximate 5.0% yield with 5.1 years of duration and a 0.24% blended fee. This compares favorably with the Bloomberg Aggregate benchmark, represented by AGG, which yields approximately 4.8% on a yield-to-maturity basis with 5.8 years of duration, based on data as of 7/1/26. On an SEC-yield basis, the comparison is 4.9% for the portfolio versus 4.5% for the benchmark. The result is more income with less rate sensitivity, which is the core fixed-income expression of our outlook. Under the same rate assumptions, this translates into an expected return of 3.5% for the sleeve versus 2.8% for the benchmark.

Weighted average maturity is approximately 7 years, reflecting 5.6 years for intermediate Treasuries, roughly 12.9 years for core-plus credit at the index level, 3.7 years for high yield, and 6.6 years for mortgages. However, duration, not maturity, is the primary risk variable we manage because it measures the portfolio's sensitivity to changes in interest rates. At 5.1 years of duration, the sleeve would lose approximately 1.5% in price for a 30 basis point increase in rates, a cost that its 5.0% carry would offset.

What If the Rate View Is Wrong?

A fixed-income strategy built around a rate forecast should also identify where it could fail. If rates rise more than expected and the 10-year Treasury overshoots to 5.5%, an increase of roughly 100 basis points, the sleeve would lose approximately 5.1% in price against 5.0% in annual carry, leaving it roughly flat over the year. By comparison, the longer-duration Aggregate benchmark would lose approximately 1.4% net. In that downside rate scenario, our structure still performs better than the benchmark.

If we are wrong in the opposite direction and the economy weakens enough for the Federal Reserve to cut rates by 100 basis points, the sleeve would gain roughly 10% from price appreciation and carry. However, the excluded long-Treasury exposure would have gained closer to 19%, and high yield would likely face spread widening that offsets part of its duration benefit. This is the trade-off in our positioning: we give up some upside in a bond rally we do not forecast in exchange for stronger carry and better defense in the rate environment we expect. Credit conditions are monitored monthly alongside the portfolio review, high-yield spreads, roughly 260 basis points at this writing, trailing default rates, and our own recession indicators, and an environment shift toward recession is a named trigger for rotating the credit profile toward Treasuries under the rebalancing framework

Mutual Fund and ETF Selection

Since thirteen of the portfolio's fourteen holdings are funds, fund selection is central to the portfolio rather than an implementation detail. Each vehicle is evaluated using four written criteria. First, assets under management must generally exceed \$1 billion to ensure institutional liquidity and fund viability. This criterion eliminated the CMBS ETF at approximately \$0.5 billion and the active high-yield candidate BRHY at \$99 million. Second, the expense ratio must be the lowest available for the intended exposure unless there is a documented active-management rationale. Our passive holdings average below 0.10%, while the two active fixed-income funds, at 0.36% and 0.21%, each have a specific justification. Third, funds must have an established track record and appropriate structure, including tight benchmark tracking for index funds. Our sector ETF suite has traded since 1998. Fourth, liquidity must be sufficient, with narrow bid-ask spreads and daily trading volume that make our position sizes easy to enter and exit.

Two fund selection decisions require specific explanation. For sector exposure, we selected the Select Sector SPDR suite over Vanguard, Fidelity, and iShares alternatives. At 0.08%, it is among the lowest-cost options, and with approximately \$8 billion to \$125 billion in assets per fund, it is also the largest and most liquid. Most importantly, it uses a consistent index family whose GICS sector definitions align directly with our allocation framework. The trade off is coverage. Select Sector funds hold only S&P 500 constituents, so the Russell 3000's small- and mid-cap exposure is underrepresented. Vanguard's broader sector funds would provide more complete benchmark coverage, but at higher cost and with lower liquidity. Given that large caps represent more than 90% of the benchmark's weight, we view the Select Sector suite as the better implementation choice.

For international exposure, we selected MSCI-based funds, IEMG and IEFA, over cheaper FTSE-based alternatives because the classification difference matters to our thesis. FTSE classifies South Korea as a developed market, meaning a FTSE emerging-markets fund would exclude one of the countries specifically named in our outlook. By contrast, our benchmark, optimizer data, and emerging-markets conviction are all MSCI-defined. Maintaining consistent classification ensures that the portfolio's stated bets and measured results are aligned.

Fund selection also requires looking through each wrapper to understand the exposures being purchased. In the international sleeve, IEMG's country composition is part of the investment case: roughly one quarter China, one fifth Taiwan, one fifth India, and one tenth South Korea. In total, about half the fund is tied to the Asian semiconductor and growth complex identified in our outlook, which is why an MSCI-based emerging-markets fund was selected over a FTSE-based alternative that would exclude Korea. In the sector sleeve, XLK's cap-weighting leaves roughly 40% of the fund in its top three holdings. This is a known concentration risk that we accept at a near-neutral sector weight rather than amplify. In fixed income, HYG's credit profile, roughly half BB and one third B, means the portfolio owns the higher-quality end of high yield rather than distressed credit. JMBS holds agency-guaranteed mortgage pools, where credit risk is largely federal and active value comes from managing prepayment

and extension risk. FBND's core-plus mandate allows a limited allocation to below-investment-grade credit, a flexibility we control by pairing it with the all-Treasury SPTI core. No fund is included without reviewing the exposures inside it.

The sell discipline for funds parallels the equity discipline but reflects the role of a fund. A fund is sold or replaced when its purpose or execution changes, not simply because its price moves. Replacement is triggered if expenses rise materially, assets decline toward our minimum threshold, index tracking error widens beyond tolerance, or, for active funds, the manager's process or team changes. A fund may also be sold if the asset-class view that justified the allocation is withdrawn at rebalancing. Fund positions exist to express allocation decisions; they are retained when they continue to perform that role effectively and replaced when the role no longer applies or execution deteriorates.

Portfolio Monitoring, Rebalancing, and Client Reporting

Monitoring

The portfolio is monitored monthly, and event-driven in between: any major macroeconomic or market development, a Federal Reserve surprise, an inflation print that breaks trend, a geopolitical or policy shock on the scale of the 2025 tariff episode, triggers an immediate portfolio review regardless of the calendar. The monthly review is conducted in Bloomberg's portfolio analytics (PRTU/PORT), the industry-standard stack for a mandate of this kind: total return versus the blended benchmark, attribution by holding and by effect (allocation versus selection), and the risk model's tracking-error decomposition, supplemented by review of each holding's news flow and, for JPM, earnings releases and management commentary. Information sources are those used throughout this report: Bloomberg terminal data, fund-sponsor disclosures, FTSE Russell index publications, and primary economic releases (BLS, BEA, Federal Reserve).

Rebalancing Policy

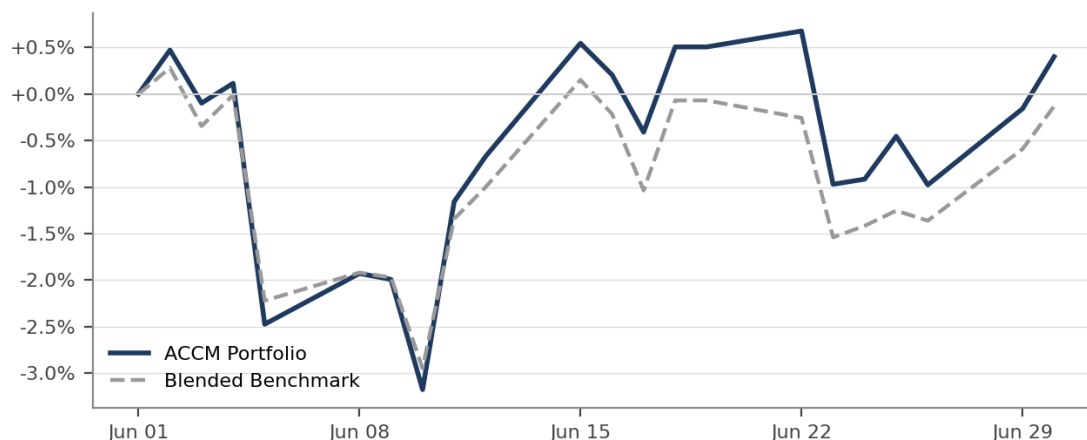
Rebalancing follows a bands and calendar policy. Scheduled: a full rebalancing review annually, with an interim check at six months, deliberately infrequent, because monthly trading against 20%-band drift would generate costs without evidence of benefit. Bands: each sleeve carries a 20% relative tolerance band around target (equities 75% rebalances outside 60–90%, capped by policy at 80%; fixed income 21% outside roughly 17–25%; cash 4% outside roughly 3–5%). Sector weights within equities carry the same relative logic. Triggered: the same event standard as monitoring, a macro shock that changes the outlook, not merely prices, reopens the allocation itself, because weights should change when reasons change, not when markets fluctuate. All rebalancing trades flow through the same documentation standard as initial positions: a written reason, referencing the model.

Client Reporting

The client receives quarterly written performance reports, delivered electronically with printed copies on request, and an annual portfolio review presented to the investment committee, with interim calls available whenever circumstances warrant. Report content follows institutional standard practice: net-of-fee total return for the quarter, year-to-date, and since inception versus the blended benchmark; attribution identifying which decisions helped and hurt, current allocation versus targets with any band breaches noted; portfolio risk metrics (volatility, tracking error, beta, fixed-income duration and yield); all holdings with weights and fees; a summary of trades and their rationale; and a forward-looking outlook section updating the economic model's key forecasts. The goal is that the client should be able to reconstruct what we did, why, and what it cost, from the report alone.

June 2026 Performance Review (One-Month Backtest)

For June 1–30, 2026, the portfolio's first live month, the portfolio returned +0.40% against –0.13% for the blended benchmark: +53 basis points of active return, earned in a month when the benchmark fell. Results were generated in Bloomberg (PRTU/PORT) and independently replicated from dividend-adjusted market data; the two methods agreed within one basis point. June was not calm. The portfolio declined roughly 3% by mid-month before recovering, while the Russell 3000 finished down 0.45%. In this environment, the portfolio added value through defensive positioning rather than broad market exposure.



Cumulative June 2026 total return, portfolio vs. blended benchmark. Source: Bloomberg PORT daily series.

June 2026	Return	Contributors (bps)	Detractors (bps)
ACCM Portfolio	+0.40%	JPM +52 (returned +10.4%)	Technology –50 (XLK –2.6%)
Blended Benchmark	–0.13%	Industrials +52 (XLI +7.7%)	Comm. Services –35 (XLC –7.1%)
Active Return	+0.53%	Health Care +25, XLF +19	Emerging Mkts –24, Energy –16
...by effect		Selection +0.35 / Allocation +0.18	Fixed income: all four funds positive

Attribution supports the portfolio's construction thesis. The two largest contributors were the two most deliberate decisions: JPMorgan Chase, up 10.4% in the month after passing the Federal Reserve stress test and announcing a 10% dividend increase with a \$50 billion buyback authorization, direct validation of the capital-return thesis in our analyst report and the Industrials overweight. The detractors were June's technology and communication-services pullback and a pause in emerging markets, the fixed-income sleeve did its job quietly, with every holding positive. One month is too short to judge a strategy, so we do not overinterpret the result. The same exposures that helped in June, including JPM and the cyclical overweights, could detract in another environment, which is why the portfolio is governed by the monitoring cadence, tolerance bands, and sell disciplines outlined above.

Individual Security Analyst Report — JPMorgan Chase & Co. (NYSE: JPM)

Rating: BUY | Purchase price: \$299.31 (5/29/26 close; position initiated 6/1/26) | 12-month price target: \$342 | Upside at initiation: +14.1% (+16% with dividend)

Investment Thesis

JPMorgan Chase is the most diversified earnings engine in U.S. banking, and our macro outlook favors exactly that profile. ACCM's economic model calls for ~5.2% nominal GDP growth, ~3.4% inflation, and a 10-year Treasury near 4.9%, a higher-for-longer scenario in which loan demand, card spending, deposit balances, payments volumes, and net interest income all remain well supported. JPM is also a prime indirect beneficiary of the AI and data-center buildout, financing the capex cycle through corporate lending, bond underwriting, project finance, advisory, and risk management, fee streams that grow with capital formation regardless of which AI platform wins. At initiation the stock traded ~11% below its January 52-week high of \$334.61 after a pullback driven by 2026 expense guidance and a modest cut to net interest income guidance (~\$103B): at 13.4x FY2026E EPS with a ~17% ROE and accelerating capital returns, we viewed the reset as an attractive entry point.



JPM trailing-twelve-month price performance through 5/29/2026. Source: Bloomberg market data.

Company and Industry Position

JPM is the largest U.S. bank, \$4.9 trillion in assets and roughly \$364 billion of equity as of 1Q26, operating across Consumer & Community Banking (the #1 U.S. card franchise; \$5.0B of 1Q26 net income at a 32% ROE), the Commercial & Investment Bank (#1 global investment-banking fees; \$9.0B at 21% ROE, with record Markets revenue of \$11.6B), and Asset & Wealth Management (\$4.8 trillion of AUM, net income +12% y/y). Revenue splits almost evenly between spread and fee businesses (FY25: \$95B net interest income, \$87B noninterest income), which is the core of the case, JPM monetizes nominal growth through many channels rather than one. The balance sheet is the industry's reference point: 15.5% Tier 1 capital at year-end 2025, reserves at 1.7% of loans, nonperforming assets at 0.8%. Against a large-bank peer group (Bank of America, Citigroup, Wells Fargo, Goldman Sachs, Morgan

Stanley), JPM out-earns every money center banking peer on ROE while holding the largest deposit base — the profitability premium our screen rewarded.

Screen output (GICS Financials, mkt cap ≥ \$20B)	Mkt Cap (\$B)	Rev Growth (1Y)	ROE
JPMorgan Chase (JPM)	905	+6.9%	17.0%
Morgan Stanley (MS)	350	+13.8%	17.4%
Goldman Sachs (GS)	324	+8.7%	15.7%
Wells Fargo (WFC)	268	+7.3%	12.8%
Bank of America (BAC)	425	+0.0%	11.0%
Berkshire Hathaway (BRK)	1,091	+4.4%	10.5%

Selected rows from the ACCM Bloomberg EQS screen output (50 securities returned). JPM combines the largest pure-bank capitalization with top-tier profitability; Morgan Stanley's comparable ROE derives from a wealth-management-weighted model rather than balance-sheet banking.

Financial Analysis

Key Metrics	2023	2024	2025	2026E
Net Revenue (\$B)	158.4	177.8	182.5	198.6
Diluted EPS, Adj. (\$)	16.68	20.02	20.14	22.42
ROE (%)	17.4	18.4	16.7	17.2
Net Interest Margin (%)	2.70	2.65	2.55	—
Provisions (\$B)	9.3	10.7	14.2	—
Dividends per Share (\$)	4.10	4.80	5.80	6.30

Bloomberg-adjusted figures; 2026E = consensus at initiation.

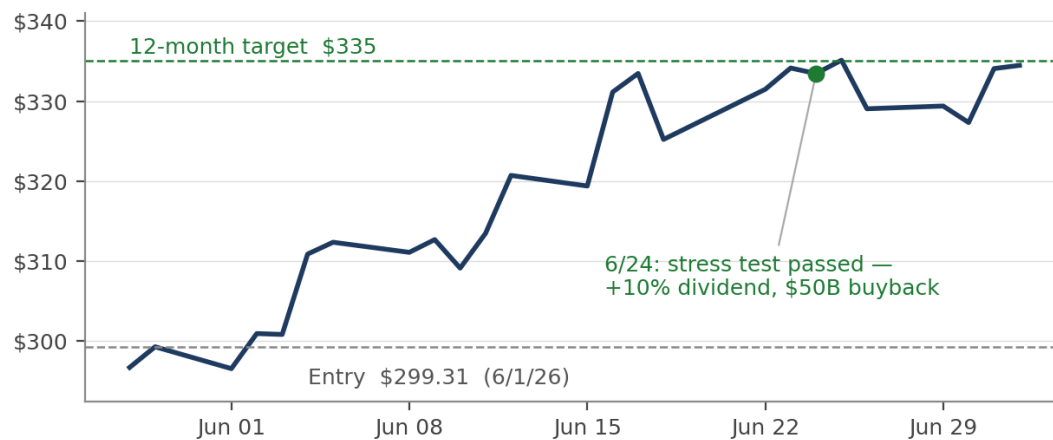
Revenue has compounded ~11% annually since 2021, driven by rate repricing (net interest income rose from \$52B to \$95B), the First Republic acquisition, and fee momentum. First-quarter 2026 confirmed trajectory: EPS \$5.94 (+17% y/y) on net revenue of \$49.9B, record Markets revenue, and investment-banking fees up 28%. The watch item is credit normalization, provisions rose to \$14.2B in 2025 on card seasoning, which we view as normalization, not deterioration, given reserve coverage already built. Capital return is accelerating: net payout reached \$48B (86% of operating earnings) in 2025, and the share count shrinks 2–3% annually.

Valuation: Dividend Growth Model

As a financial, JPM is valued on cash returned to shareholders rather than free cash flow. Cost of equity via CAPM: 4.45% risk-free + 0.99 beta × 4.48% equity risk premium = 8.88%. Growth: banks grow with nominal GDP, proxied by the 10-year Treasury — $g = 4.45\%$, deliberately below our own 5.2% nominal-GDP forecast. Shareholder cash flow: consensus FY2026 operating net income of \$60.5B × the 65.4% average payout of 2021–25 = \$39.5B, or \$14.21 per diluted share. Capitalized at $(K_e - g) = 4.43\%$, value is \$321 per share at January 1, 2026, the date the FY2026 cash flow implies. Accreted at g , not at the cost of equity, because in a constant growth model the price grows at g while the gap between g and K_e is the dividend, that gives \$342 at June 1, 2027, twelve months past the purchase date, +14.1% from the

\$299.31 purchase price, ~+16% with the dividend. The Street corroborates without crowding: consensus across 38 covering analysts is a buy-equivalent 4.1/5 rating with a \$348 average target (Bloomberg ANR, 7/6/26); our \$342 sits about 2% below consensus, a variance only in its conservatism. Because g is set equal to the risk-free rate, the capitalization spread reduces to $\beta \times \text{ERP}$ and the target has limited sensitivity to whether the 10-year sits at 4.45% or at our 4.9% forecast, since the rate cancels from the capitalization spread though not from the accretion. Scenario range on the same model: bear \$250 (credit overshoot cuts earnings ~13%, payout constrained to 55%, matching what JPM actually distributed in 2022–23), base \$342, bull \$381 (consensus earnings at an assumed 73% payout, below the 78.6% average of 2024–25). The June 24 capital-return announcement shifted probability toward the bull case.

June Update: Thesis Validation and Discipline



JPM June 2026: entry, 12-month target, and the June 24 stress-test/capital-return announcement.

JPM returned +10.4% in June, measured from the June 1 close of \$296.58 to the June 30 close of \$327.33 (peak close \$335.12 on June 25, about two percent below our target). The catalyst arrived June 24: JPM passed the Federal Reserve stress test with a 14.3% Tier 1 ratio against an 11.5% requirement and immediately announced a 10% dividend increase (to \$1.65 quarterly; a 2.2% yield on our cost basis) and a \$50 billion repurchase authorization effective July 1, direct evidence that our 65% payout assumption is conservative. We note with equal honesty that the stock now trades near record highs at roughly 15x forward earnings, at the upper end of its historical range.

Risks and Sell Discipline

Key risks: credit losses overshooting our normalization view (provisions have already doubled since 2023); two-sided rate risk (rapid Fed easing compresses net interest income; a hike-driven long-end spike pressures loan demand and markets); regulatory capital rules constraining buybacks, which carry roughly half our modeled payout; sustained negative operating leverage from 2026 expense growth; CEO succession; and a valuation premium that demands execution. Sell discipline: we exit or trim if (1) the price reaches our \$342 target without commensurate fundamental improvement, which would

oblige us to re-run the model with the new \$6.60 dividend and updated payout before electing to hold; (2) card net charge-offs sustain above ~4% or nonperforming assets exceed 1.25% of loans; (3) the macro environment shifts to recession/rapid easing, breaking the nominal-growth thesis; or (4) the stock deviates 20% below cost without fundamental explanation, triggering formal review. The position is capped at 5% of the portfolio by policy; appreciation above the cap is trimmed at rebalancing under the bands framework.

Model Limitations and Data Vintage

Every forecast rests on assumptions that may prove wrong. What follows is a complete statement of the known weaknesses in the economic model that underpins this portfolio, disclosed here rather than left to be discovered.

Structural limitations

The inflation model has no shelter component. It weights labor costs at 68% and materials at 32%, which are production-cost proportions. Consumer price inflation is roughly two-thirds services, of which shelter alone is about a third of the index and is its stickiest element. The model will therefore understate inflation whenever services run hot while goods prices fall — which is the current regime. A rebuild at BLS relative-importance weights is the correct remedy and is identified as future work.

Crude oil is over-weighted relative to its true CPI significance. It carries 30% of the materials basket and therefore 9.6% of the inflation forecast, against roughly 6.2% for energy in the actual index. That amplifies the forecast's sensitivity to energy shocks. A refresh of the commodity basket dated July 25, 2026 is documented in the model as a disclosed sensitivity and rejected, on the grounds that its movement derives almost entirely from a geopolitically inflated crude oil spot price and that the resulting forecast fails an internal consistency check against consensus real growth.

Futures curves are imperfect predictors. A forward curve embeds storage costs, convenience yield and risk premia alongside genuine expectations; backwardation in crude typically signals present physical tightness rather than an expectation of falling prices.

Concentration risk

Five companies — Amazon, Microsoft, Alphabet, Meta and Oracle — now account for roughly eight percent of all United States private investment. Their combined capital expenditure reached \$424.3 billion in 2025, up 74.4% year over year, with the first quarter of 2026 running 90.8% above the prior year. The portfolio's Industrials and Energy overweights are directly levered to that spending. A material reduction by any one of them would transmit to those sectors quickly and would not appear in the national accounts for at least a quarter. This is an identified and unhedged risk.

Data vintage

No single date applies to this work. This report's market data runs to July 23, 2026. The economic model is frozen at July 31, 2026 and carries newer inputs. The principal sources and their as-of dates are set out below.

Input	Source	As-of date
Hyperscaler capital expenditure	SEC EDGAR XBRL, five companies	FY2025 and Q1 2026 filings
Term premium decomposition	Federal Reserve Bank of New York, ACM model	July 23, 2026

Federal Reserve projections	Summary of Economic Projections	June 17, 2026
Investment, government, net exports	BEA national accounts via FRED	Series through 2026 Q1
Sector weights (benchmark)	iShares Russell 3000 ETF	July 2, 2026
Rate path and analyst consensus	Bloomberg WIRP and ANR	July 6, 2026
Portfolio betas	Bloomberg adjusted	June 30, 2026
JPM purchase price	Market close	May 29, 2026

Conclusion

This portfolio is built around one consistent argument carried through five layers. The economic model supports a higher-for-longer outlook for growth, inflation, and interest rates. The capital-markets outlook translates that view into expected returns. The optimizer, guided by judgment rather than followed mechanically, converts those expectations into an allocation. Sector, fund, and security selection then implement the allocation with cost discipline and documented rationale. Finally, the monitoring, rebalancing, and reporting framework governs how the portfolio is managed over time.

In its first month, the portfolio returned 0.41% versus a 0.13% decline for the benchmark, with attribution that aligned with the original design. More importantly, the portfolio demonstrated a repeatable process. Every position has a stated reason, a measured size, a monitoring trigger, and a predefined condition for sale or review. That discipline is what separates a managed portfolio from a collection of market opinions.

Sources: Bloomberg Terminal (PRTU/PORT, EQS, historical data); FTSE Russell; iShares, State Street, Fidelity, Janus Henderson fund disclosures; BLS, BEA, Federal Reserve; JPMorgan Chase investor relations; ACCM economic and inflation model. All figures as of dates noted. Angel City Capital Management (ACCM) is a fictitious firm created for FRL 6950; the investment policy constraints and blended benchmark follow the course's Bronco Asset Management program guidelines. This document is not investment advice.

Appendix: Supporting Exhibits

Exhibit A.1 — Complete Portfolio at Inception (June 1, 2026)

Holding	Role	Amount	Weight
XLK — Technology Select Sector	US equity, sector	\$194,400	19.4%
IEMG — iShares Core MSCI Emerging Markets	Intl equity, EM	\$120,000	12.0%
XLF + JPM — Financials sector + conviction stock	US equity, sector + selection	\$91,800	9.2%
IEFA — iShares Core MSCI EAFE	Intl equity, developed	\$90,000	9.0%
SPTI — SPDR Intermediate Treasury	FI, Treasury core (passive)	\$73,500	7.4%
XLI — Industrial Select Sector	US equity, sector	\$67,500	6.8%
FBND — Fidelity Total Bond	FI, IG credit (active)	\$52,500	5.3%
XLY — Consumer Discretionary Select	US equity, sector	\$51,300	5.1%
XLC — Communication Services Select	US equity, sector	\$48,600	4.9%
HYG — iShares iBoxx High Yield	FI, credit satellite (passive)	\$42,000	4.2%
JMBS — Janus Henderson MBS	FI, mortgages (active)	\$42,000	4.2%
BIL — SPDR 1–3 Month T-Bill	Cash sleeve	\$40,000	4.0%
XLV — Health Care Select Sector	US equity, sector	\$32,400	3.2%
XLE — Energy Select Sector	US equity, sector	\$24,300	2.4%
XLP — Consumer Staples Select	US equity, sector	\$10,800	1.1%
XLB — Materials Select Sector	US equity, sector	\$8,100	0.8%
XLRE — Real Estate Select Sector	US equity, sector	\$5,400	0.5%
XLU — Utilities Select Sector	US equity, sector	\$5,400	0.5%

18 positions (JPM held directly at \$50,000 within the Financials allocation). Entered in Bloomberg PRTU at 6/1/2026 closing prices; initial principal \$999,264 after share rounding.

Exhibit A.2 — Fixed-Income Vehicle Detail

Fund	Mgmt	SEC Yield	YTM/YTW	Duration	Expense	AUM
SPTI (Interm. Treasury)	Passive	4.30%	4.28%	4.9 yrs	0.03%	\$10.3B
FBND (Core-plus IG)	Active	4.61%	—	6.0 yrs	0.36%	\$26.7B
HYG (High Yield)	Passive	6.43%	6.89%	3.0 yrs	0.49%	\$16.8B
JMBS (Agency MBS)	Active	4.90%	—	6.2 yrs	0.21%	\$6.8B
BIL (1–3mo T-Bills)	Passive	3.51%	3.68%	0.1 yrs	0.14%	\$46.6B
Sleeve (wtd, ex-cash)	—	~5.0%	—	5.1 yrs	0.24%	—

Sponsor data, June–July 2026. Excluded vehicles and reasons documented in the Fixed-Income section.

Exhibit A.3 — Equity Screener, As Run (Bloomberg EQS)

#	Stage 1: Screen criterion	Filter	Matches
1	Security universe	—	1,650,965
2	Trading status	Active	605,134
3	Exchanges	United States	29,256
4	Country/region of domicile	United States	15,663
5	GICS sector	40 — Financials	1,044
6	Current market cap	≥ \$20 billion	76
7	Latest quarterly revenue growth (YoY)	> 0%	65
8	Return on common equity (latest filing)	> 10%	50

Stage 2 evaluation, applied to the 50-name output: relevance to the sector thesis (lending banks only); ROE versus cost of equity; price-to-book justified by the ROE spread; growth in total shareholder payout; capital strength versus regulatory minimums; and dividend-growth-model valuation upside. Screen screenshot and full export retained in the project file.

Exhibit A.4 — Model Documentation

All analysis in this report is reproducible from the accompanying workbooks. The economic and inflation model (consumer, labor, materials, and rate blocks) produces the forecasts in the Economic Outlook section. The allocation workbook contains, on separate documented sheets: the \$1,000,000 target allocation with policy checks; the U.S. sector allocation versus benchmark with sources; the screener specification; the sector-ETF family comparison; the capital markets expected-return build; the optimizer rerun (expected returns, ten-year covariance, constraint set, scenario weights, and metrics); and the June performance comparison. The fixed-income analysis workbook contains ten years of monthly data, returns, summary statistics, calendar-year returns, correlations, the growth-versus-value style analysis, and current fund statistics. The JPMorgan dividend growth model and its scenario analysis accompany the equity research report. Bloomberg outputs (PRTU portfolio, PORT performance, attribution, and risk model exports) are retained as screenshots and spreadsheets in the project file as they could not be directly exported from Bloomberg.